

STATE OF NEW YORK

4603--A

Cal. No. 1287

2025-2026 Regular Sessions

IN SENATE

February 10, 2025

Introduced by Sen. SANDERS -- read twice and ordered printed, and when printed to be committed to the Committee on Banks -- reported favorably from said committee, ordered to first and second report, ordered to a third reading, amended and ordered reprinted, retaining its place in the order of third reading

AN ACT to amend the banking law, in relation to establishing criteria for the closure of banking accounts in the state of New York

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The banking law is amended by adding a new section 9-ii to
2 read as follows:

3 § 9-ii. Closure of accounts. 1. All banking organizations and out-of-
4 state state banks authorized to operate and maintain branches pursuant
5 to article five-C of this chapter when closing the account of a customer
6 shall:

7 (a) provide sixty days' notice that such account is being closed,
8 whether for personal or business use, and provide the reason for such
9 closure, and

10 (b) return any remaining funds from such account within sixty days
11 after the closure of such account to the owner.

12 2. This section shall not apply to the extent that it is preempted by
13 federal law. Nothing in this section shall be construed to require any
14 act prohibited, or prohibit any act required, by federal law.

15 § 2. This act shall take effect immediately.

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

LBD03161-03-5